

Mutual funds have both advantages and disadvantages compared to direct investing in individual securities. Today they play an important role in household finances, most notably in retirement planning.

Advantages of Mutual Fund

1. Professional Management –

The primary advantage of funds is the professional management of your money. Investors purchase funds because they do not have the time or the expertise to mana•

2. Simplicity –

Buying a mutual fund is easy! Pretty well any bank has its own line of mutual funds, and the minimum investment is small. Most companies also have automatic purchase plans whereby as little as \$100 can be invested on a monthly basis. Get their own portfolios. A mutual fund is a relatively inexpensive way for a small investor to get a full-time manager to make and monitor investments.